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4918 SAN VICENTE BOULEVARD (LA) OWNER, LLC, VS

THE PACIFIC GROUP WEST INC., ET AL.

MOTION FOR JUDGMENT ON THE PLEADINGS

Date of Hearing: July 6, 2026 Trial Date: October 12, 2026

Department: 529 Case

No.: 23STCV29488

BACKGROUND

On December 1, 2023, Plaintiff 4918 San Vicente Boulevard (LA) Owner, LLC filed a complaint against The Pacific Group West Inc. dba Integrated Construction Services and Hempel (USA), Inc. dba Neogard for negligence, breach of contract, breach of implied covenant of good faith and fair dealing, breach of implied contractual warranty and breach of express warranty.

On January 25, 2024, The Pacific Group West Inc. dba Integrated Construction Services filed a Cross-Complaint against Roes 1 – 100 for equitable indemnity, implied indemnity, contribution, and declaratory relief. On June 20, 2024, Hempel (USA), Inc. filed a Cross-Complaint against The Pacific Group West Inc. dba Integrated Construction Services and MOES 1 - 50 equitable indemnity, comparative indemnity, comparative contribution, total equitable indemnity and declaratory relief.

[TENTATIVE]

RULING:

I.

Defendant Hempel (USA) Inc.'s Motion for Judgment on the Pleadings as to 4918 San Vicente Boulevard (LA) Owner, LLC's Complaint is GRANTED IN PART

II.

Defendant Hempel (USA) Inc.'s Motion for Judgment on the Pleadings as to the Pacific Group West, Inc.'s Cross-Complaint is GRANTED IN PART

DISCUSSION

I.

DEFENDANT HEMPEL (USA) INC.'S MOTION FOR JUDGMENT ON THE PLEADINGS AS TO 4918 SAN VICENTE BOULEVARD (LA) OWNER, LLC'S COMPLAINT

Defendant Hempel (USA), Inc. dba Neogard ("Neogard") moves for judgment on the pleadings in favor of Neogard and against Plaintiff 4918 San Vicente Boulevard (LA) Owner, LLC ("Owner") as to Owner's second cause of action for negligence, fourth cause of action for breach of contract, sixth cause of action for breach of implied covenant of good faith and fair dealing, eighth cause of action for breach of implied contractual warranty, and tenth cause of action for breach of express warranty. Neogard makes the motion on the grounds that Owner's Complaint fails to state facts sufficient to constitute any cause of action against Neogard and that the defects are substantive and incurable as a matter of law.

It is well established in California that either prior to trial or at the trial the plaintiff or the defendant may move for judgment on the pleadings and that the appropriate ground for such a motion is the same as that arguable by general demurrer, namely, the failure to state a cause of action or defense. (Dobbins v. Hardister (1966) 242 Cal.App.2d 787, 791; See also Sofias v. Bank of America (1985) 172 Cal.App.3d 583, 586 [The non-statutory motion for judgment on the pleadings can be made at any time, even during trial, since the grounds for a general demurrer are never waived.].)

The standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (Bezirdjian v. O'Reilly (2010) 183 Cal.App.4th 316, 321-322 (citing Schabarum v. California Legislature (1998) 60 Cal.App.4th 1205, 1216).) Matters which are subject to mandatory judicial notice may be treated as part of the complaint and may be considered without notice to the parties. Matters which are subject to permissive judicial notice must be specified in the notice of motion, the supporting points and authorities, or as the court otherwise permits. (Id.)

Breach of Contract

Neogard moves for judgment on the pleadings as to the breach of contract cause of action on the grounds Owner's Complaint improperly assumes—without alleging facts sufficient to support—that Owner is a third-party beneficiary of the contract between ICS and Neogard. It is not.

California law permits third party beneficiaries to enforce the terms of a contract made for their benefit. (Spinks v. Equity Residential Briarwood Apartments (2009) 171 Cal.App.4th 1004, 1021; Civ Code § 1559 ["A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.].) Because third party beneficiary status is a matter of contract interpretation, a person seeking to enforce a contract as a third party beneficiary " 'must plead a contract which was made expressly for his [or her] benefit and one in which it clearly appears that he [or she] was a beneficiary.' (Schauer v. Mandarin Gems of Cal., Inc. (2005) 125 Cal.App.4th 949, 957.)

Neogard argues Owner alleges no facts establishing that the purported ICS–Neogard contract was entered into expressly for Owner's benefit. Instead, Owner offers only a conclusory allegation that the contract was "expressly and/or impliedly intended to, and did, directly benefit Owner," and that Owner therefore "has standing to enforce said contract." (Compl. ¶ 54.) Neogard contends these conclusory allegations at most amount to an incidental benefit arising from performance of the contract.

Owner argues the complaint alleges more than a bare conclusion that Plaintiff benefited from construction work. It alleges that the Agreement between Plaintiff and ICS specifically called for installation of Neogard's AUTO-GARD Integrally Textured Vehicular Traffic Coating System throughout the Premises' parking deck structural slab. (Compl. ¶ 9.) It further alleges that, after Plaintiff requested a low-VOC coating because of the Project's proximity to residential units, ICS conferred with Neogard, Neogard recommended the subject traffic coating product, ICS recommended that product to Plaintiff, and Plaintiff agreed to its use in reliance on that recommendation. (Compl. ¶¶ 16-17.) The Complaint also alleges that Neogard representatives were present during the Project and oversaw ICS's preparation and application of the Neogard traffic coating material. (Compl. ¶¶ 56, 68.) Owner contends those allegations support a reasonable inference that Neogard's product obligations were not directed only to ICS in the abstract, but to the specific Premises, the specific waterproofing function, and the specific owner whose property was to receive and rely on the system.

The court finds the allegations sufficient. On a motion for judgment on the pleadings, "[i]n an action based on a written contract, the plaintiff may plead the legal effect of the contract rather than its precise language. [Citation.] Third party beneficiary status is a matter of contract interpretation, and it follows that the same rules apply." (Ochs v. PacifiCare of California (2004) 115 Cal.App.4th 782, 795.) While the ICS and Neogard contract is not attached, the complaint sufficiently alleges the effect of the contract. As noted by Owner, the complaint alleges ICS/Neogard Contract was expressly and/or impliedly for the benefit Owner. This claim is supported by Owner's allegations that Neogard representatives were present and oversaw ICS throughout the performance of its scope of work, ICS recommended that product to Owner, and Owner agreed to its use in reliance on that recommendation.

Accordingly, the motion for judgment on the pleadings is DENIED.

Breach of Implied Covenants & Warranties

Neogard moves for judgment

on the pleadings as to the breach of implied covenants and warranties cause of action on the grounds on the same grounds as the breach of contract claim, there is no contractual relationship between Neogard and Owner and Owner has not properly alleged it is a third-party beneficiary of the contract between ICS and Neogard.

As the court has found Owner sufficiently alleged a breach of contract claim, the court finds the breach of implied covenants and warranties sufficient. Accordingly, the motion for judgment on the pleadings is DENIED.

Negligence

Neogard moves for judgment on the pleadings as to the negligence cause of action on the grounds Owner's negligence claim is barred by the economic loss rule.

To plead a cause of action for negligence, one must allege (1) a legal duty owed to plaintiffs to use due care; (2) breach of duty; (3) causation; and (4) damage to plaintiff. (County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal. App. 4th 292, 318.)

Neogard argues Owner's pleading falls squarely within the prohibition of the economic loss rule. Under the economic loss rule, a plaintiff is precluded from recovery in tort where her damages consist solely of an economic loss. Seely v. White Motor Co. (1965) 63 Cal.2d 9, 17-18. "California Courts define economic loss as 'damages for inadequate value, costs of repair and replacement of the defective product or consequent loss of profits—without any claim of personal injury or damages to other property.'" Department of Water & Power v. ABB Power T & D Co. (C.D.Cal. 1995) 902 F.Supp. 1178, 1186, fn. 4. The economic loss rule requires a purchaser to recover in contract for purely economic loss due to disappointed expectations unless she can demonstrate harm above and beyond a broken contractual promise. Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988, 993 (Robinson) (economic loss rule prevents law of contract and law of tort "from dissolving one into the other”). Neogard contends the complaint certainly alleges that the coating itself failed and required repair or replacement. (Compl. ¶¶ 20–22, 33.) However, those allegations describe nothing more than economic loss. Such losses—stemming from disappointed performance expectations—are exactly the type of damages the economic loss rule is intended to bar.

In opposition, Owner argues the complaint alleges more than just repair and replacement costs for a failed coating system. The complaint instead alleges property damage due to cracks, delamination, deterioration, staining indicative of water intrusion, tenant complaints, water intrusion into tenant spaces, and continuing risk to the Premises and tenants. (Compl. ¶¶ 20-23, 26-27, 30, 33.) As a result, on the face of the complaint, Owner’s allegations do not constitute economic loss.

The court agrees the negligence claim is barred by the economic loss rule. As noted by Neogard, Plaintiff’s negligence claim does not identify an independent tort duty separate from the alleged duty to provide a coating system that performed as an effective waterproofing barrier. In Fieldstone Co. v. Briggs Plumbing Products, Inc. (1997) 54 Cal.App.4th 357, the court held where “the defect and the damage are one and the same,” there is no physical injury to support a tort claim. Accordingly, Owner’s allegations are insufficient to overcome the economic loss rule.

Accordingly, the motion for judgment on the pleadings is GRANTED WITH LEAVE TO AMEND.

II.

DEFENDANT HEMPEL (USA) INC.’S MOTION FOR JUDGMENT ON THE PLEADINGS AS TO THE PACIFIC GROUP WEST, INC.’S CROSS-COMPLAINT

Cross-Defendant Hempel (USA), Inc. dba Neogard moves for judgment on the pleadings in favor of Neogard and against Cross-Complainant The Pacific Group West, Inc. dba Integrated Construction Services (“ICS”) Cross-Complaint for equitable indemnity, implied indemnity, contribution and declaratory relief. Neogard makes the motion on the grounds ICS’s Cross-Complaint fails to allege facts sufficient to constitute any cause of action against Neogard, and that the defects are substantive and not capable of cure as a matter of law.

Indemnity

and Contribution

Neogard argues ICS's claims for indemnity and contribution must fail on the grounds there can be no joint or mutual liability because Neogard is not, and cannot be, liable to the Owner. Neogard also argues the claim for contribution fails because there is no money judgment entered jointly against ICS and Neogard and the declaratory relief cause of action is merely a restatement of indemnification.

First, as far as Owner's claims being sufficient, as noted above, the court finds the breach of contract sufficiently alleged. However, the negligence claim was not. As far as the indemnity claim, the court agrees statutory contribution requires a prior judgment. The statute expressly conditions the right of contribution on the existence of a prior joint judgment and payment exceeding a tortfeasor's pro rata share. However, the causes of action do not allege statutory contribution. Rather, it alleges comparative contribution. (See American Motorcycle Assn. v. Superior Court (1978) 20 Cal.3d 578, 599.) As for the declaratory relief cause of action, the court agrees it is derivative of its indemnity and contribution claims. Owner does not address this contention in their opposition.

Based on the foregoing, the motion for judgment on the pleadings is GRANTED WITH LEAVbritE TO AMEND.